

International Political Economy (SOCS-SHU 222)

DEVELOPING COUNTRIES AND INTERNATIONAL

FINANCE II: THE GLOBAL CAPITAL FLOW CYCLE

Instructor: JING QIAN



Reminders

- Extra credit assignments (3-pts total) due Wednesday, May 6 at 11:59pm
- Quiz 2 coming up:
 - From: 12:01am on Thursday, May 7
 - To: 11:59pm on Sunday, May 10
- Google Form MCQ pooling for review – consider submitting today

Developing Countries and International Finance II:

The Global Capital Flow Cycle

READING ASSIGNMENT:

Oatley Chapter 15

NYU
上海



SHANGHAI
纽约大学

Free Capital Flow



**“Trilemma”:
a country can only have
2 out of 3 of these**

Fixed Exchange Rate

Sovereign Monetary Policy

The Global Capital Flow Cycle

BOOM

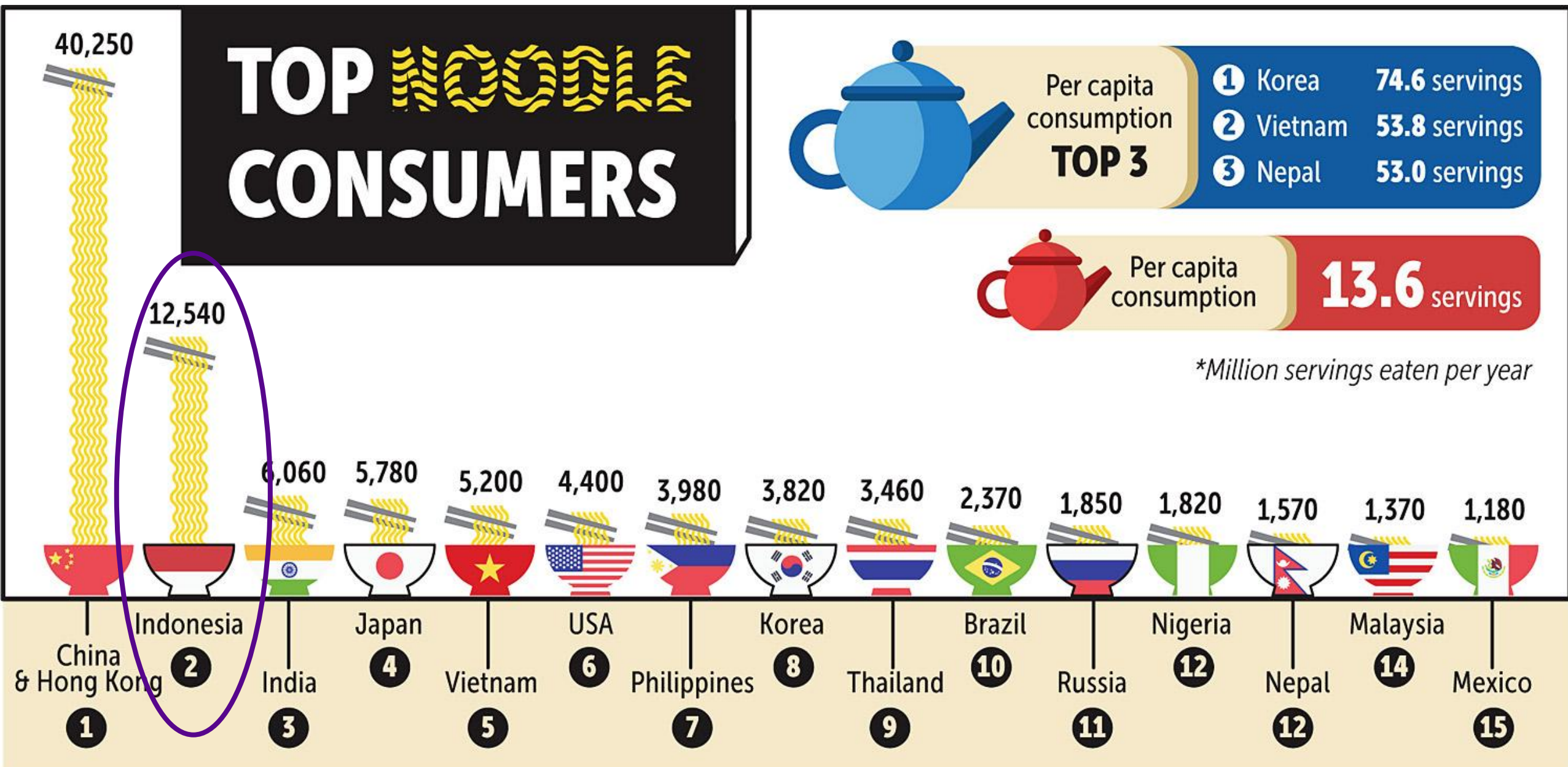


BUST

- Surge in foreign capital inflows
- Low global interest rates & high risk appetite
- Credit expansion & currency appreciation
- Rising asset prices and consumption
- Growing external debt exposure

- Global tightening (e.g., U.S. rate hikes)
- Capital outflows & currency depreciation
- Falling asset values, debt harder to service
- Sudden stop → financial instability
- Need for adjustment, IMF, controls





Source: World Instant Noodles Association (WINA)

BANGKOK POST GRAPHICS

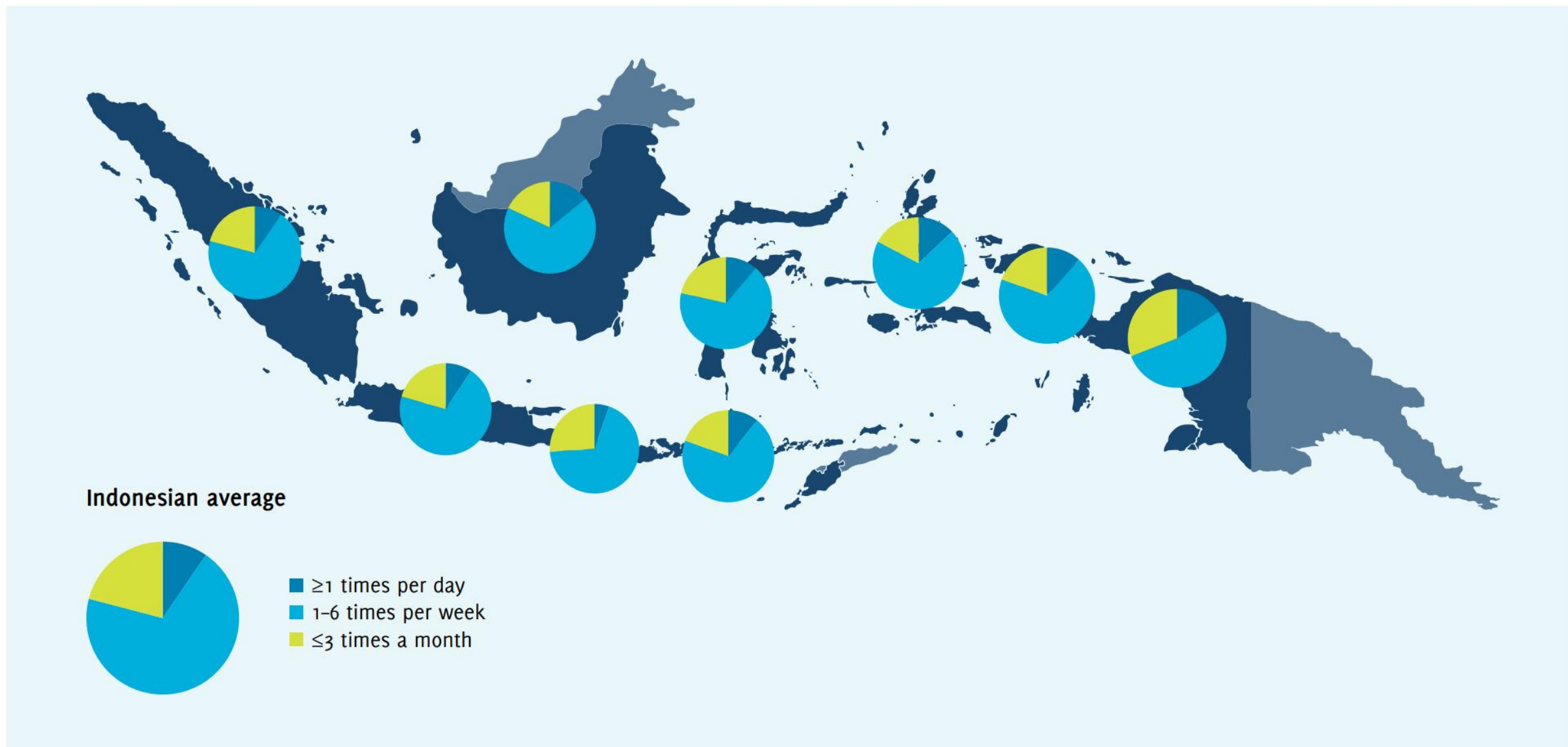
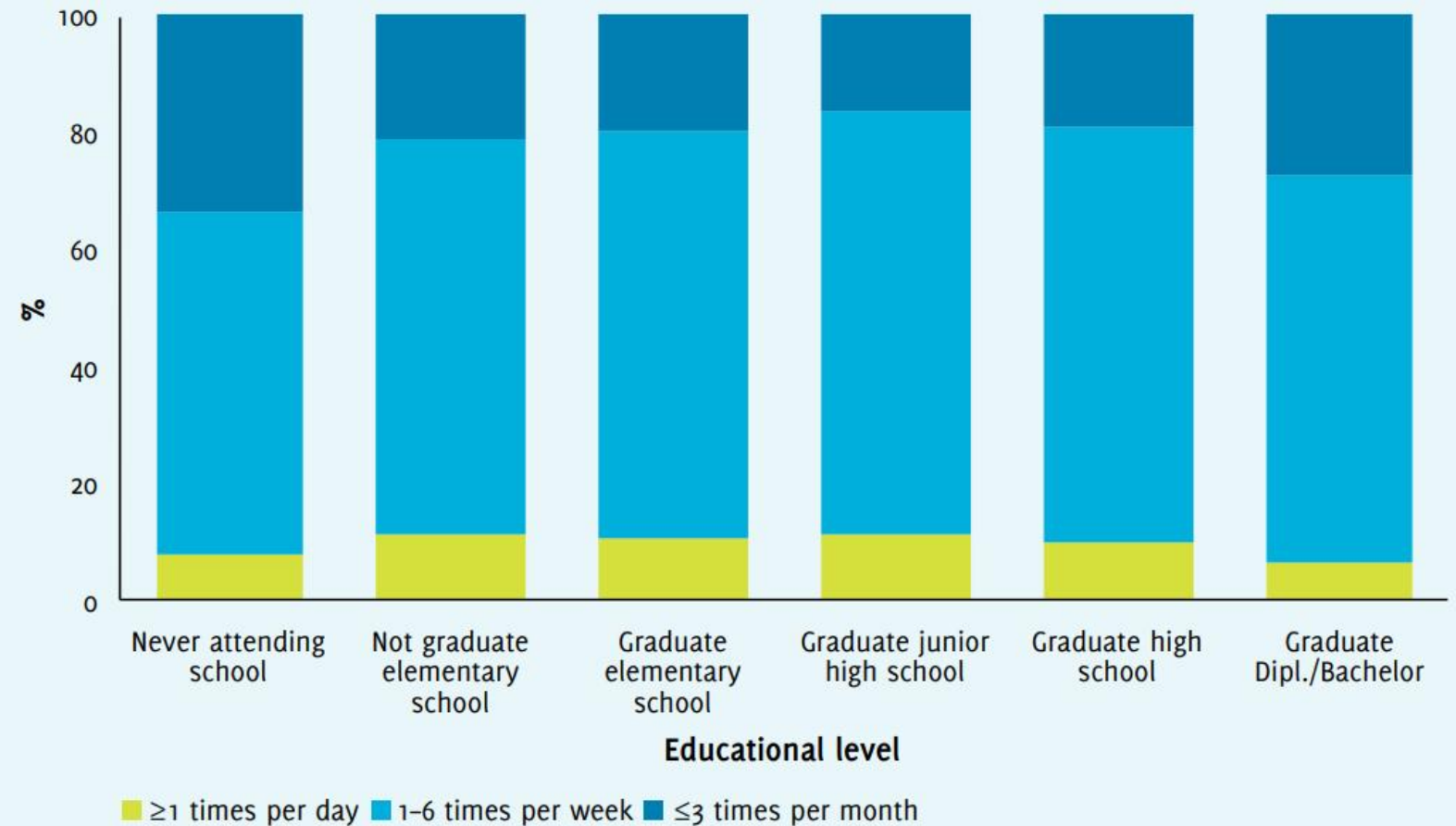


Figure 16
Incidence of instant noodle consumption by location in Indonesia

Source: BPS (2014)

Figure 13
Frequency of instant noodle
consumption by age and
educational level

Source: Based on data abstracted
from household survey data
available at <http://labmandat.litbang.depkes.go.id/riset-badan-litbangkes/menu-risikesnas/menu-risikesdas/374-rkd-2013>



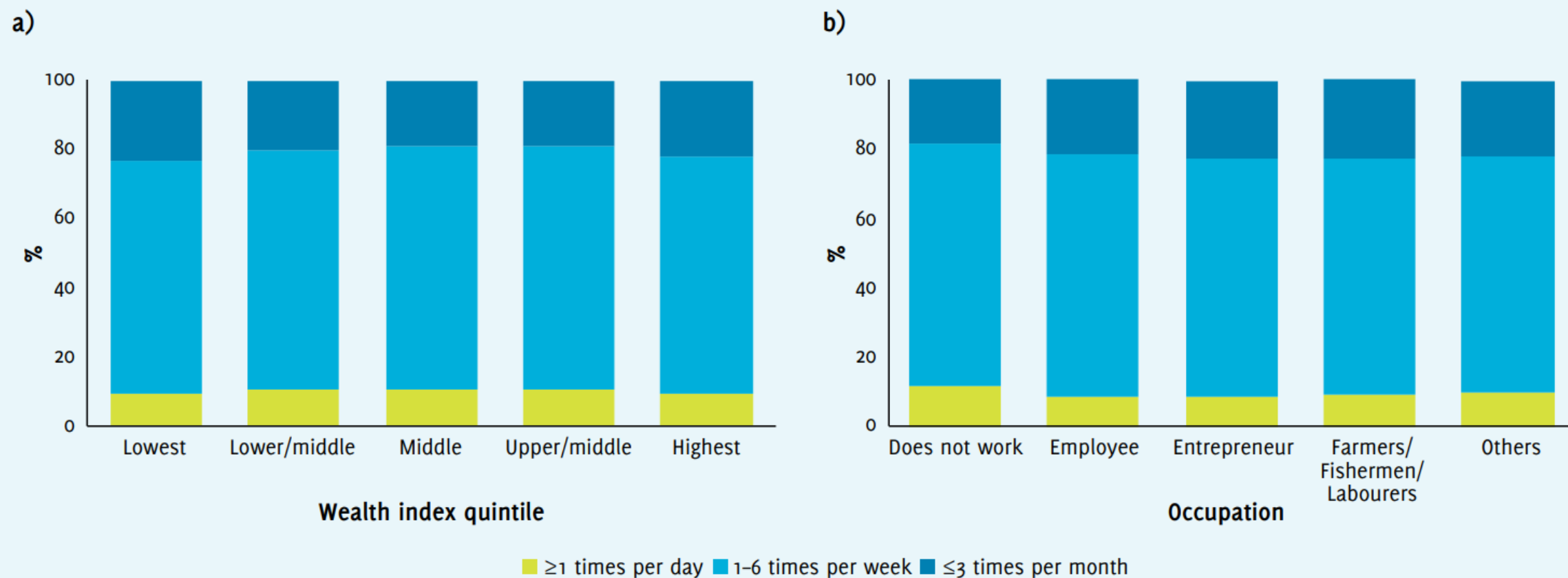
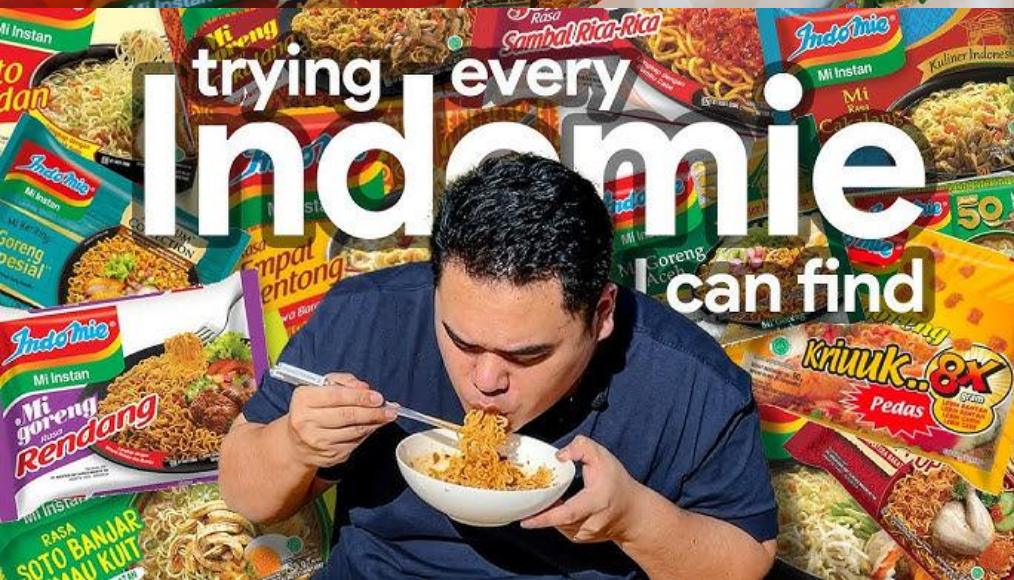


Figure 14

Incidence of instant noodle consumption by (a) wealth quintile and (b) occupation

Source: Based on data abstracted from household survey data available at <http://labmandat.litbang.depkes.go.id/riset-badan-litbangkes/menu-risikesnas/menu-risikesdas/374-rkd-2013>

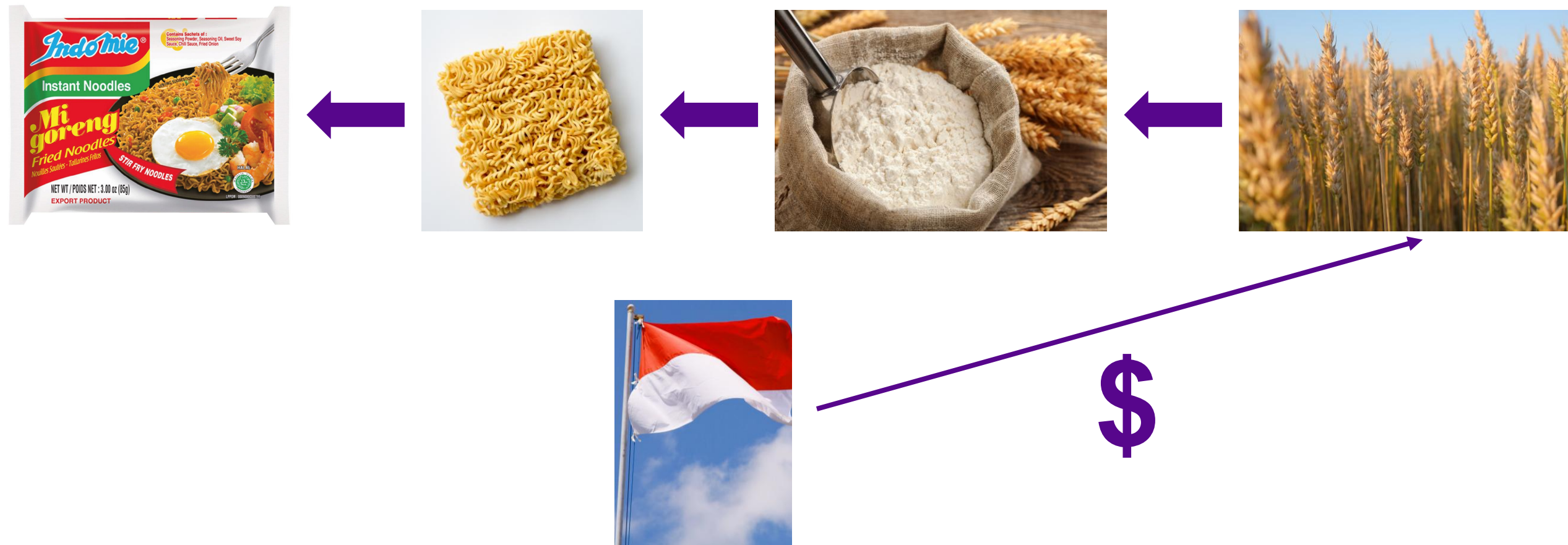




Flavorful Every Bite

- Balanced Sweet & Spice
- Crunchy Texture & Soft Core
- Great as Meal or Snack

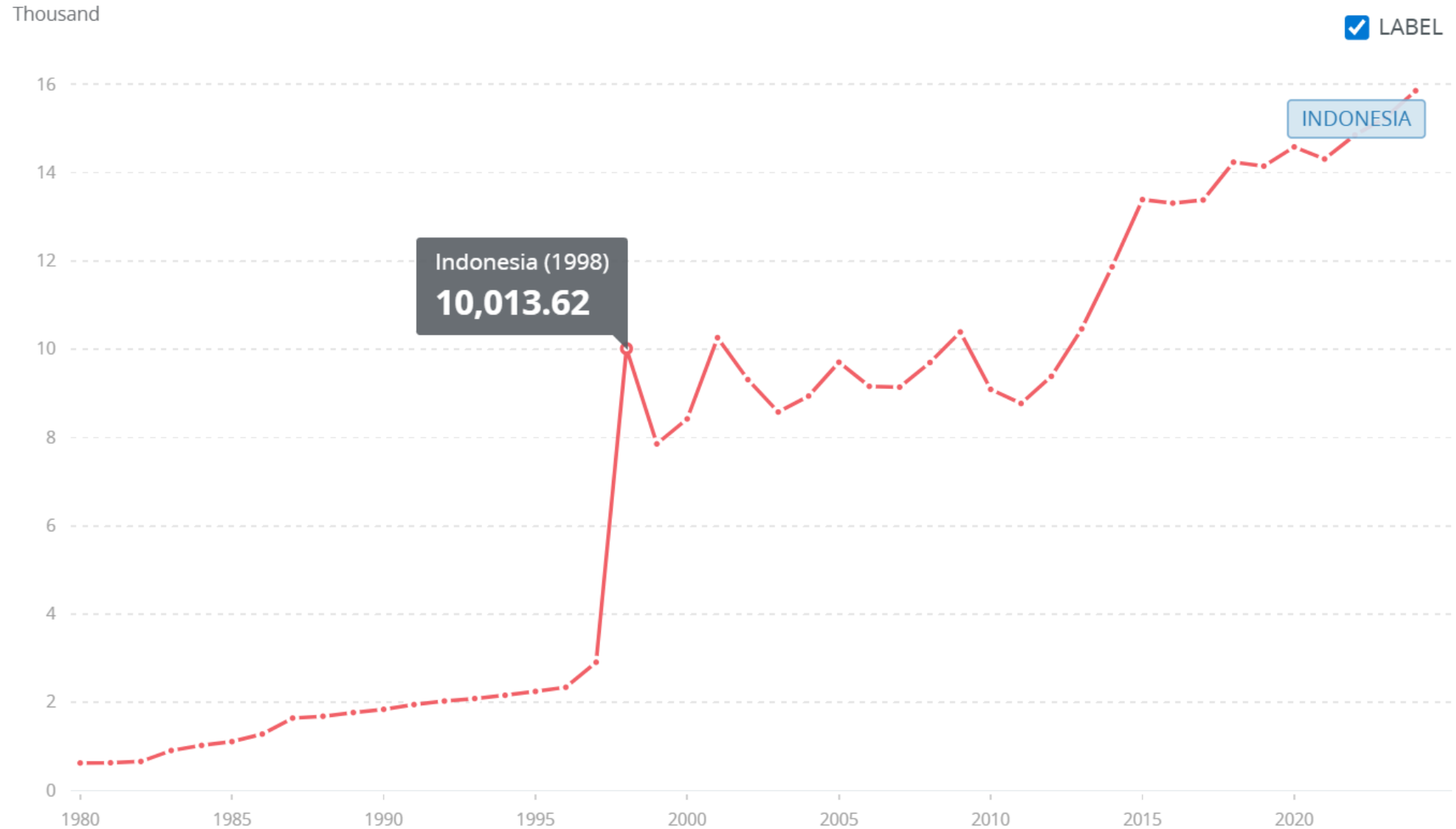




USD / Indonesian Rupiah Exchange Rate

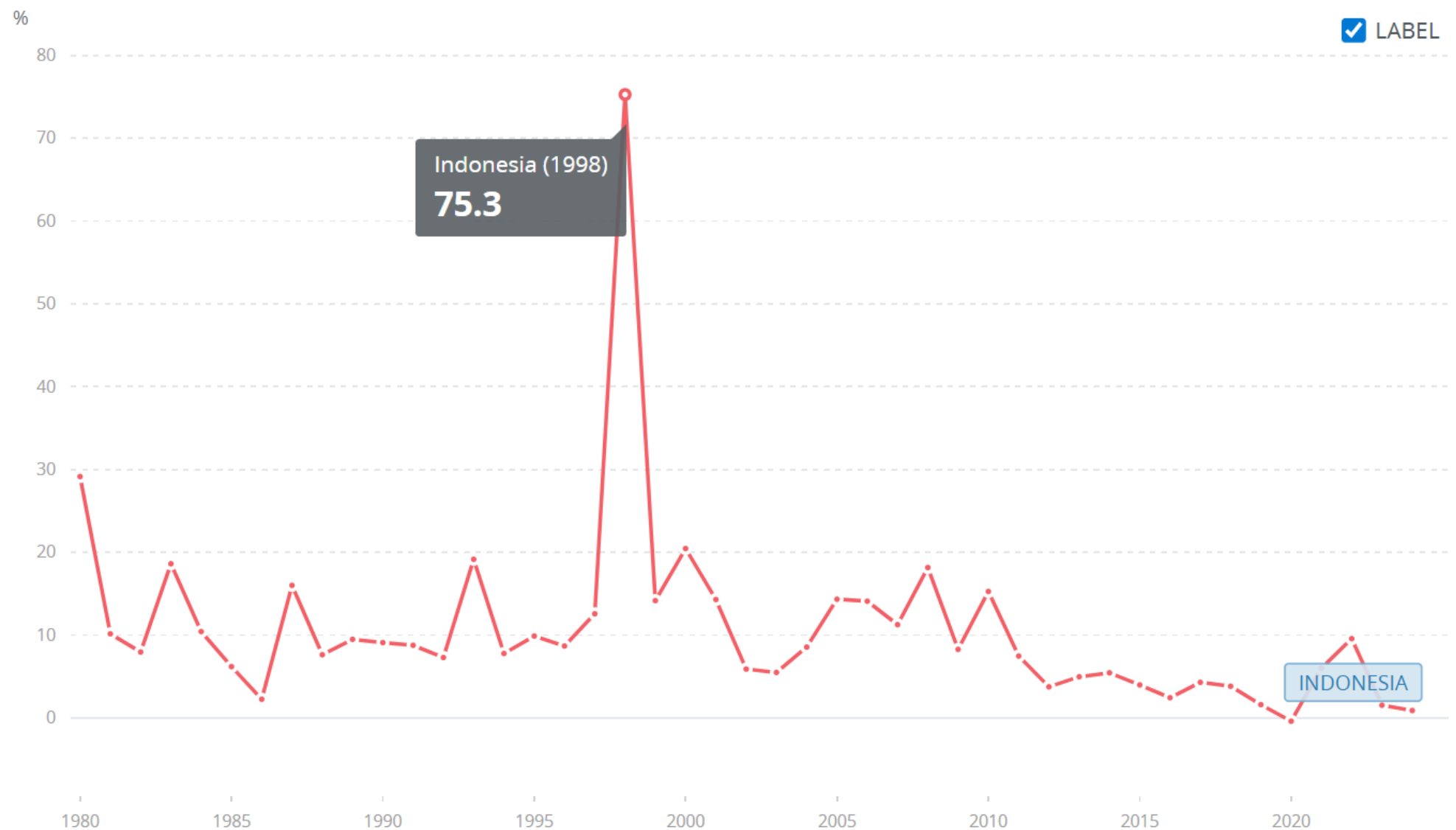


IDR to USD



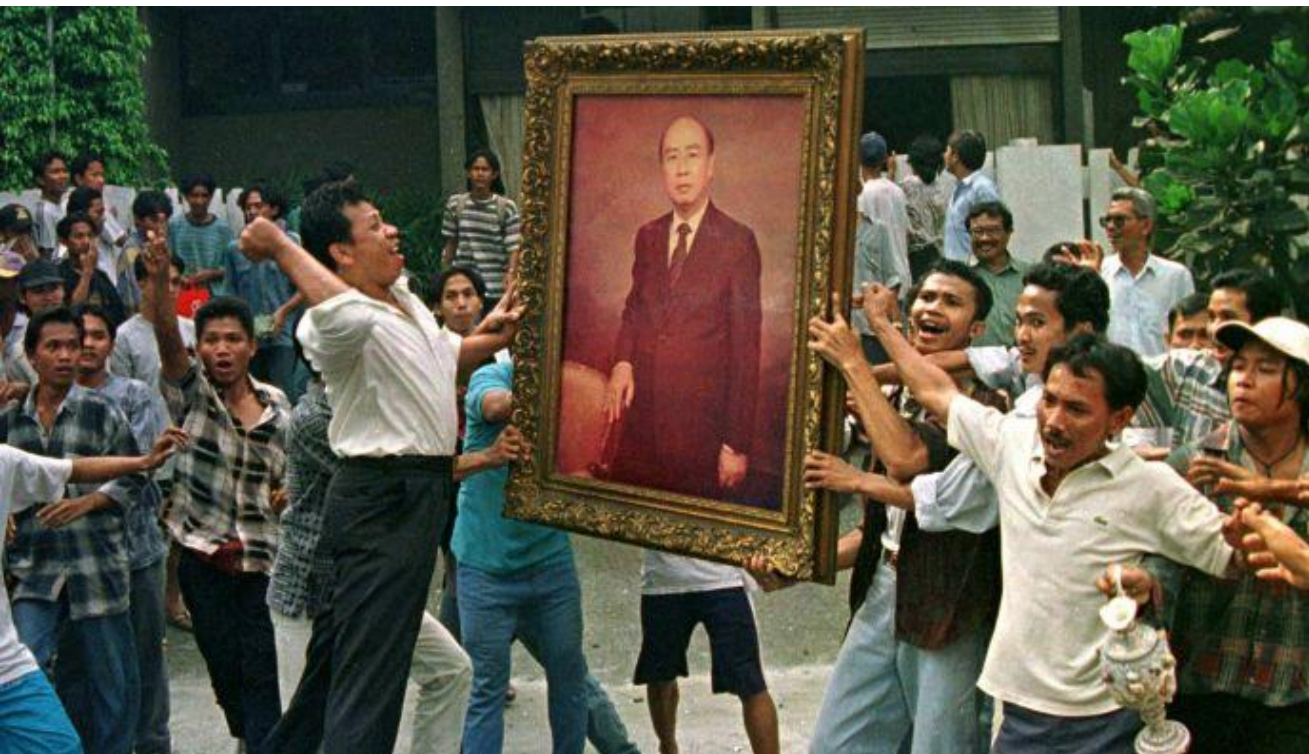


Inflation Rate in Indonesia



May 1998 Indonesia Riots





The Asian Financial Crisis

The Capital Flow Boom

- 1990s: East Asian economies became major recipients of capital
- Capital inflows fueled by:
 - Financial liberalization in developing countries.
 - Low interest rates in advanced economies.
 - Investor confidence in East Asian “economic miracles.”
- Dominated by “hot money” with high volatility
 - Short-term loans, bonds and stocks, etc.

Financial Liberalization in Asia (Early 1990s)

- Key countries: Thailand, Indonesia, South Korea, Malaysia
- Rapid liberalization of financial markets
- Domestic banks and firms gained easier access to international capital
- Rise of **financial intermediation** by local banks
 - Borrowed cheaply from international lenders
 - Lent at higher rates to domestic borrowers

Financial Mediation – The Risks

- **Currency Mismatch**

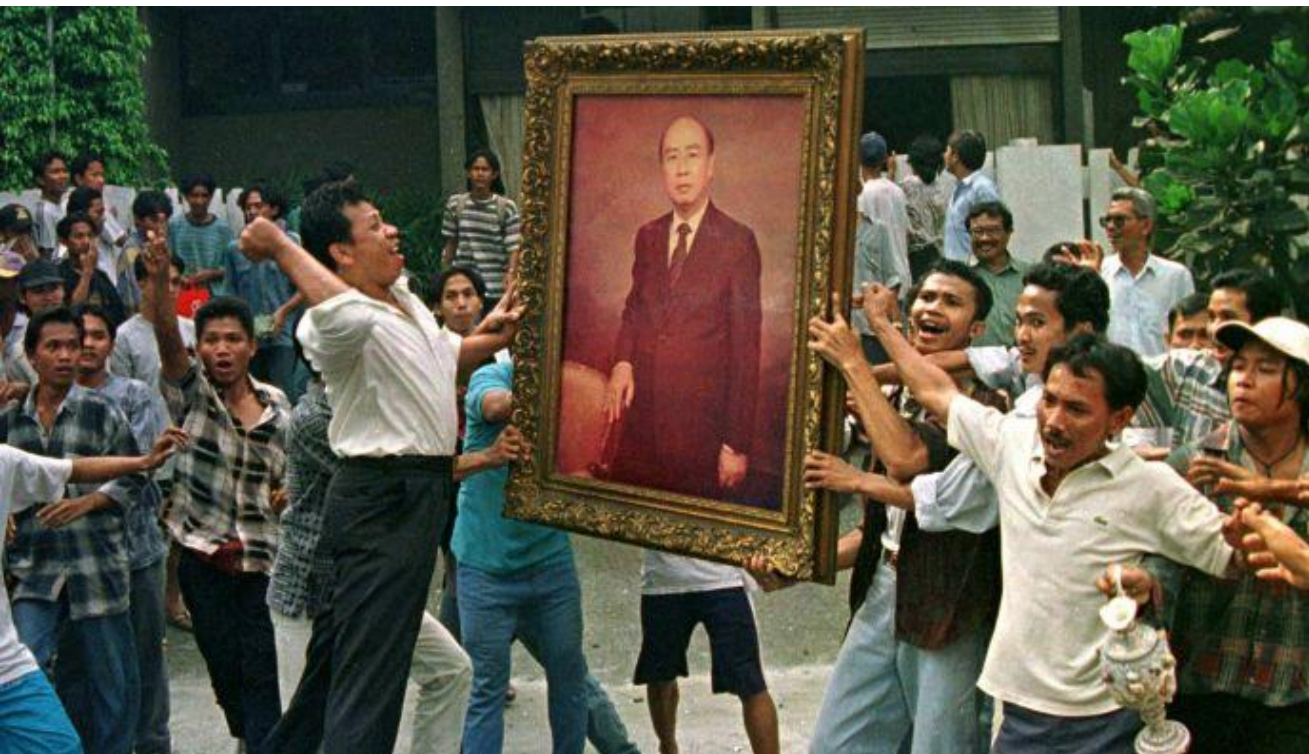
- Borrowed in USD
- Lent in local currencies
- Devaluation → Foreign debt burden surges

- **Maturity Mismatch**

- Short-term borrowing
- Long-term lending
- Lose of investor confidence → Inability to roll over debt

Moral Hazard

- Bailout expectations → Excessive risk-taking by banks
 - Little incentive to screen loans carefully
 - Increases system-wide vulnerability
- Political connections undermined market discipline
 - State-owned banks
 - Institutions controlled by allies of President Suharto (Indonesia)



?



Resignation of Suharto





Sudono Salim (Lim Sioe Liong)
(1916 – 2012)

“The Noodle King”

- Salim as Suharto’s closest “crony”
- BULOG (bureau of logistics) as the sole importer of wheat
 - Sold directly to Salim at subsidized, non-market rates
- Monopoly to mill wheat through Bogasari
- Bank Central Asia (BCA) as the de facto treasury for the regime’s elite

RICHARD BORSUK • NANCY CHNG

Liem Sioe Liong’s Salim Group

*The Business Pillar
of Suharto’s Indonesia*



Moral Hazard

- Bailout expectations → Excessive risk-taking by banks
 - Little incentive to screen loans carefully
 - Increases system-wide vulnerability
- Political connections undermined market discipline
 - State-owned banks
 - Institutions controlled by allies of President Suharto (Indonesia)
 - Repeat bailouts (e.g., Bangkok Bank of Commerce, Bank Duta)
- Weak regulation & enforcement
 - Rules existed, but often not enforced
 - Regulators removed or pressured (e.g., Indonesia's central bank governor)

Crisis Breakout

- Yen appreciation → harder for Asian exporters to sell to Japan
 - → Debt-service burden rise

Appreciation of Yen to USD



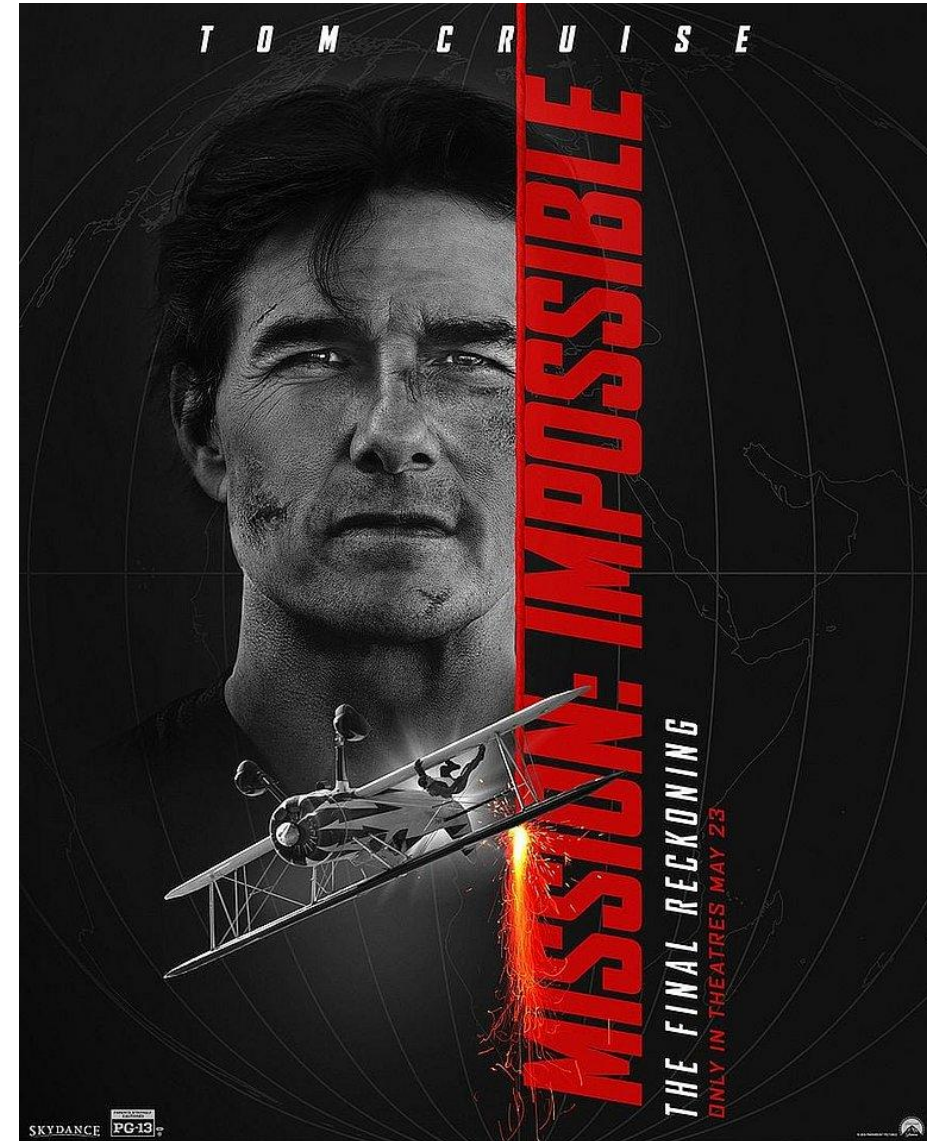
Crisis Breakout

- Yen appreciation → harder for Asian exporters to sell to Japan
 - → Debt-service burden rise
- Real-estate bubble bursts
 - Domestic borrowers struggle to repay loans
 - Domestic banks struggle to repay foreign creditors
- May 1997: Collapse of Thai firm *Finance One* triggers investor panic
- Foreign banks refuse to renew loans, triggering capital flight.
- July 1997: Thailand floats the baht after reserve depletion.
- Panic spreads → capital exits across Asia.

Floating Currencies

- Fixed exchange rates became unsustainable
 - Investor panic → mounting pressure on currency pegs
- Reserves drained defending pegs
 - Central banks sold USD to defend currency → reserves depleted
- Dollar-denominated debt became harder to repay
 - Pegs worsened debt burden as domestic currencies weakened
- Floating restored policy control
 - Allowed interest rate cuts and ended reserve drain
- Floating XR: Thailand, Philippines, Indonesia, Malaysia, Taiwan, etc.

With crisis, here comes the IMF



With crisis, here comes the IMF



IMF Response to the Crisis

- IMF Bailout packages
 - Philippines (\$1.1 billion); Thailand (\$16 billion); Indonesia (\$23 billion); South Korea (\$57 billion)
- **Conditionality (Structural Adjustment)**
 - Macroeconomic stabilization
 - Tight monetary and fiscal policy to curb inflation
 - Financial sector reform
 - Close insolvent banks and improve regulation
 - Structural reform
 - Liberalize trade and investment, reduce state intervention

IMF Response: The Fallout

- Consequences of IMF packages
 - Sharp economic contractions across Asia
 - Rising unemployment and poverty
 - Political instability
 - Suharto resigns in Indonesia
 - Mass protests in Thailand
- “NEVER AGAIN”



Images from **South Korea** during the East Asian Financial Crisis



Annual growth of GDP per capita, 1995 to 2000

Annual percentage growth rate of GDP per capita based on constant local currency. Aggregates are based on constant 2010 U.S. dollars.



What caused the Asian Financial Crisis?

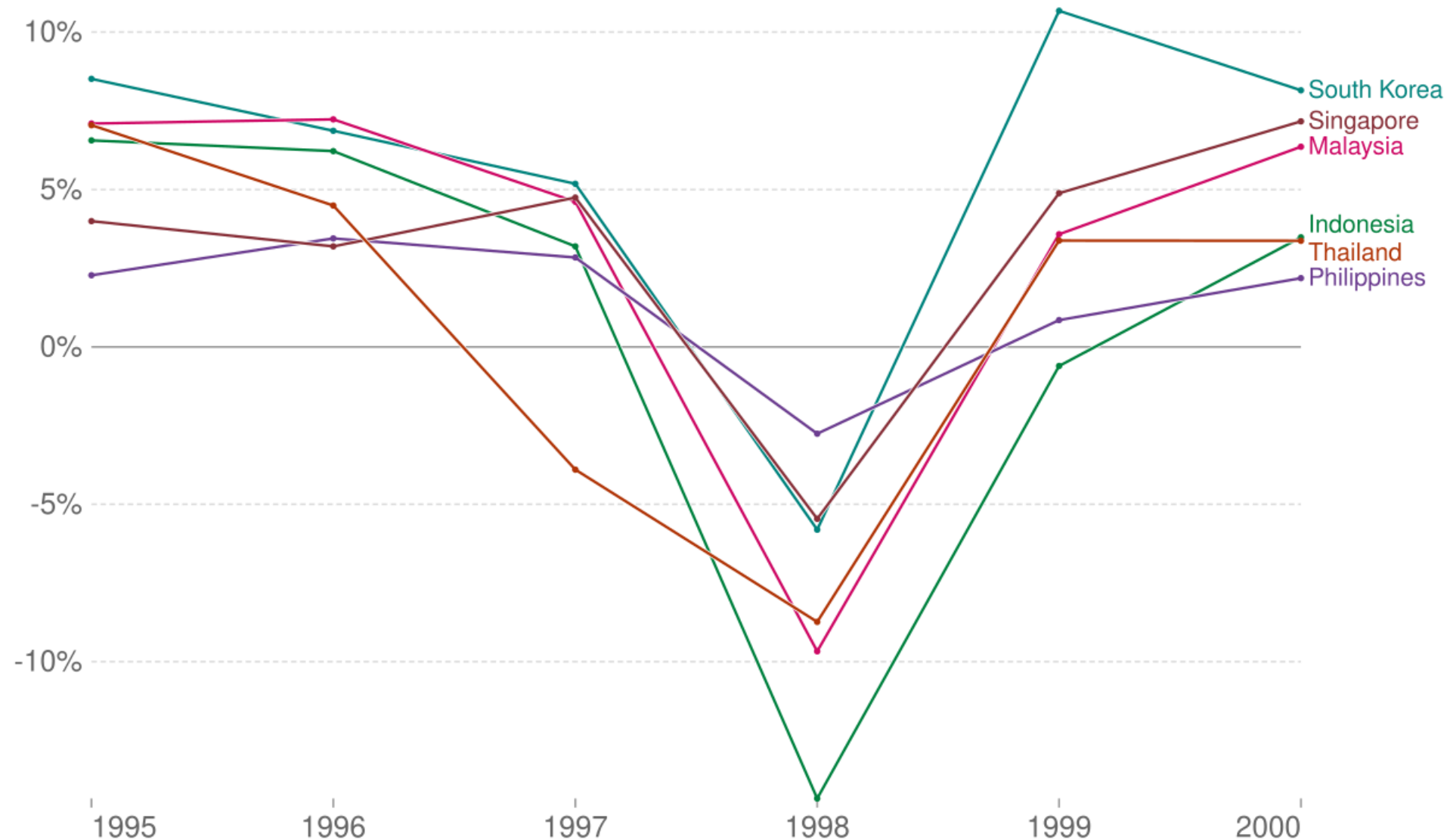
- The development model of East Asian economies
 - Excessive government intervention
 - Crony (i.e., corrupted) government-business relationship
- A wrong path of financial deregulation
 - A proper sequence of financial liberalization
- Risk of global financial market
 - Speculative currency attack
 - Panic (i.e., irrational) market behavior
- Or, an IMF/US plot to weaken East Asia...?

Crisis Diagnosis and Post-Crisis Responses

- If the crisis were caused by the **Asian development model** or by **bad planning**, the best response should be **neoliberal reforms** (institutional restructuring, market deregulation)
 - Northeast Asian economies: South Korea, China and Japan
 - Restructuring the relationship among the government, labor and business
- If the crisis were caused by **global financial market** or exacerbated by **IMF conditionality**, the best response should be **government bailout** and a **new economic defense mechanism**
 - Southeast Asian economies: Thailand, Indonesia and Malaysia
 - The government-local business relationship strengthened

Annual growth of GDP per capita, 1995 to 2000

Annual percentage growth rate of GDP per capita based on constant local currency. Aggregates are based on constant 2010 U.S. dollars.



Line

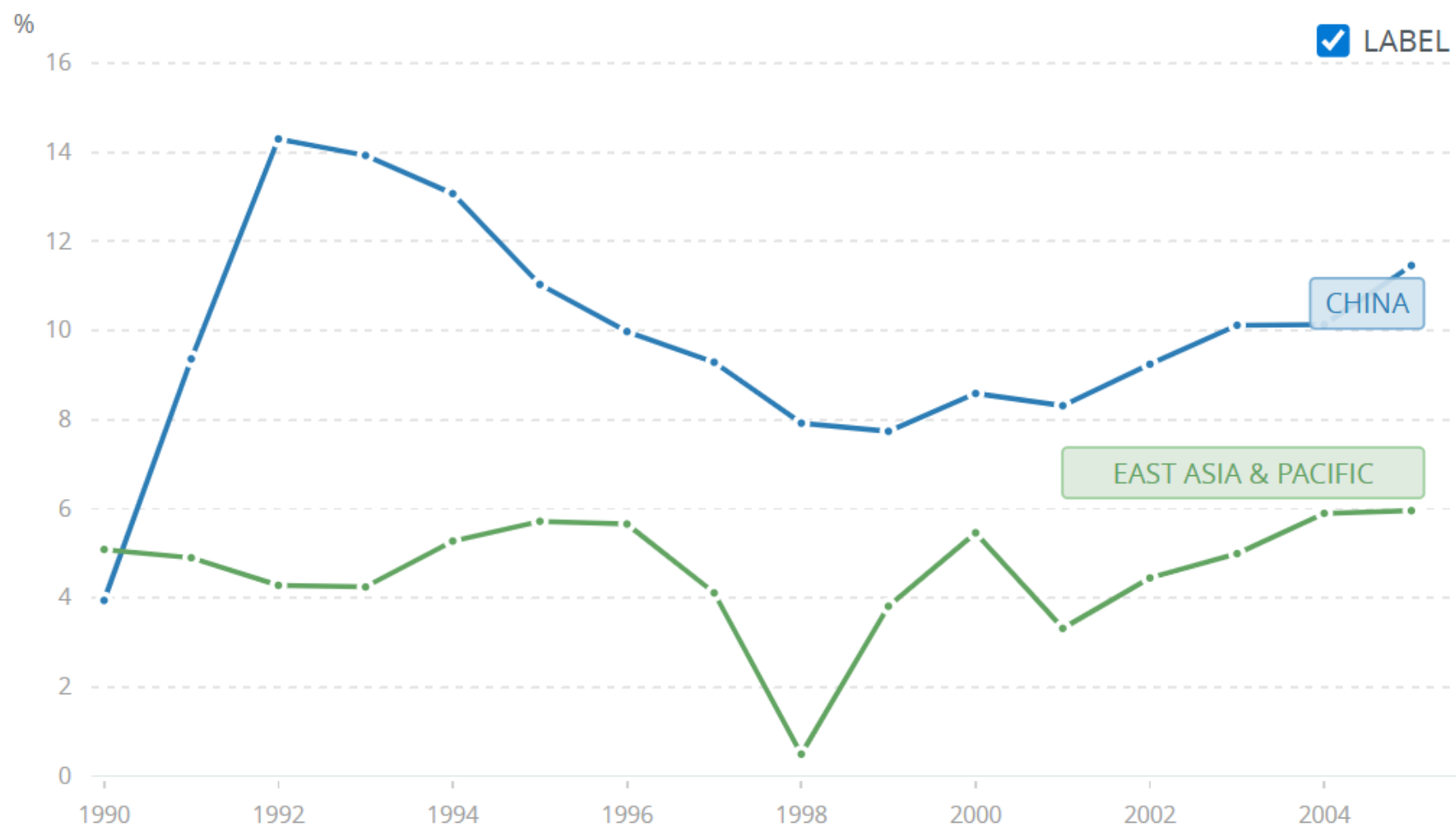
Bar

Map

⋮ Also Show

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ⓘ Details



1990 - 2005

|||

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China largely escaped the crisis

- Large holding of foreign exchange reserves
- Capital control and non-convertible RMB
- Low, short-term foreign debt
 - Inward foreign direct investment (FDI) in fixed assets rather than portfolio investments
- State-led financial system
- ...

4



Bretton Woods II

Bretton Woods II – The Shift After Crisis

- Asian governments: "Never Again" to IMF reliance post-1997 crisis
- Response: Build defenses to avoid future capital flow crises
- First line of defense: **Self-insurance**
 - Accumulation of large foreign exchange reserves
 - East Asia's reserves grew to over \$4 trillion by 2009
 - China: \$2.4 trillion; Japan: ~\$1 trillion

Persistent Current Account Surpluses

- Strategy: Run current account surpluses to fund reserve accumulation
- Pegged currencies to the U.S. dollar at competitive (undervalued) rates
- Used capital inflows to finance exports, hold U.S. government debt
- Maintained sterilized interventions to keep domestic money supply stable

Modern Bretton Woods System

- East Asia finances U.S. deficits by recycling export earnings
 - Buys U.S. government bonds and securities
- Result: Mutual dependence
 - East Asia relies on export-driven growth
 - U.S. relies on foreign investment to fund deficits
- System stable as long as East Asia holds U.S. debt

Ching Mai Initiative & Global Impact

- Second defense: Regional cooperation via Chiang Mai Initiative (2000)
 - Regional swap arrangement among ASEAN+3 countries
 - Provide liquidity in crises without IMF
- Bretton Woods II's irony: Massive reserves helped fuel global imbalances
 - Contributed to 2008 crisis by lowering U.S. interest rates
 - Fed asset bubbles in the West while shielding Asia

Currency Wars and Taper Tantrums

Capital Flow Stability in the 2000s

- Early 2000s: Period of financial calm for developing countries
- Capital focused on U.S. property markets
- Low inflows to emerging markets → time to rebuild
- Many governments accumulated reserves
- By 2008: Lowest outstanding IMF credit in 30 years

the financial crisis Great Crash of 2008

Disbelief, and a punter reach

The plunging market yesterday dealt a new blow to investors' confidence, as the government decided to inject HK\$1 million into counselling services for losers in the financial crisis.

Retail investors expressed disbelief at the Central Bank's decision.

"Major real estate transactions turn more

bank revised its economic forecast for this year down to 1 per cent. For next year, it is 2 per cent.

consensus of 9.1 per cent in 2008.
"The slowdown is a normal fluctuation in a report yesterday. There is enough evidence of economic downturn. Last night, Chao (李超), spokesman, said with

SATURDAY, OCTOBER

U.S. Quantitative Easing (QE) and Spillovers

- QE1 (2008), QE2 (2010), QE3 (2012): Fed bought treasury bonds
- Lower interest rates in U.S. → Investors sought higher returns abroad
- Surge in capital inflows to emerging markets
- Consequences:
 - Rising asset prices (e.g., real estate)
 - Currency appreciation
 - Risk of asset bubbles

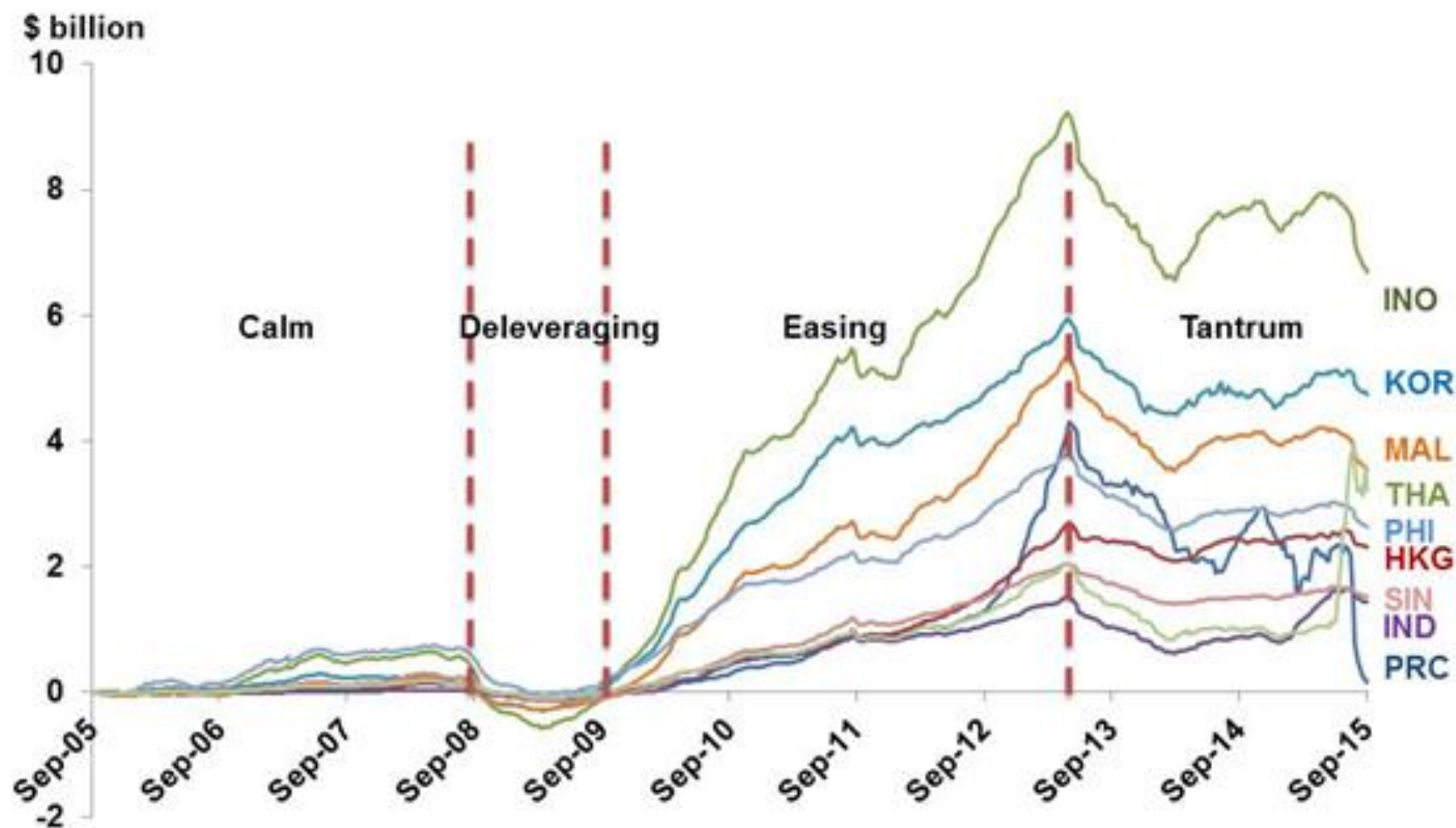


<https://www.youtube.com/watch?v=7txAuJfDJD4&t=78s>

Taper Tantrum and Reversal

- 2013: Fed signals end of QE ("tapering")
- Investors panic → withdraw capital from emerging markets
- Currency depreciation, stock market losses
- Governments raise interest rates to stabilize markets
- India, Brazil, South Africa, etc. affected

Cumulative net capital flows into local bond markets



Global Capital Flow Cycle Revisited

- Recurring pattern: Boom in capital inflows followed by bust
- Triggered by changes in U.S. monetary/fiscal policy
- No systemic crises in 2010s→ Lesson from past reforms?
- Reducing volatility needs stronger macroeconomic coordination

Categories > Money, Banking, & Finance > Interest Rates > FRB Rates - discount, fed funds, primary credit

★ Federal Funds Effective Rate (FEDFUNDS)

Observations ▾

Mar 2025: **4.33**

Updated: Apr 1, 2025 3:17 PM CDT

Next Release Date: Apr 28, 2025

Units:

Percent,

Not Seasonally Adjusted

Frequency:

Monthly

1Y

5Y

10Y

Max

Edit Graph

2000-01-01

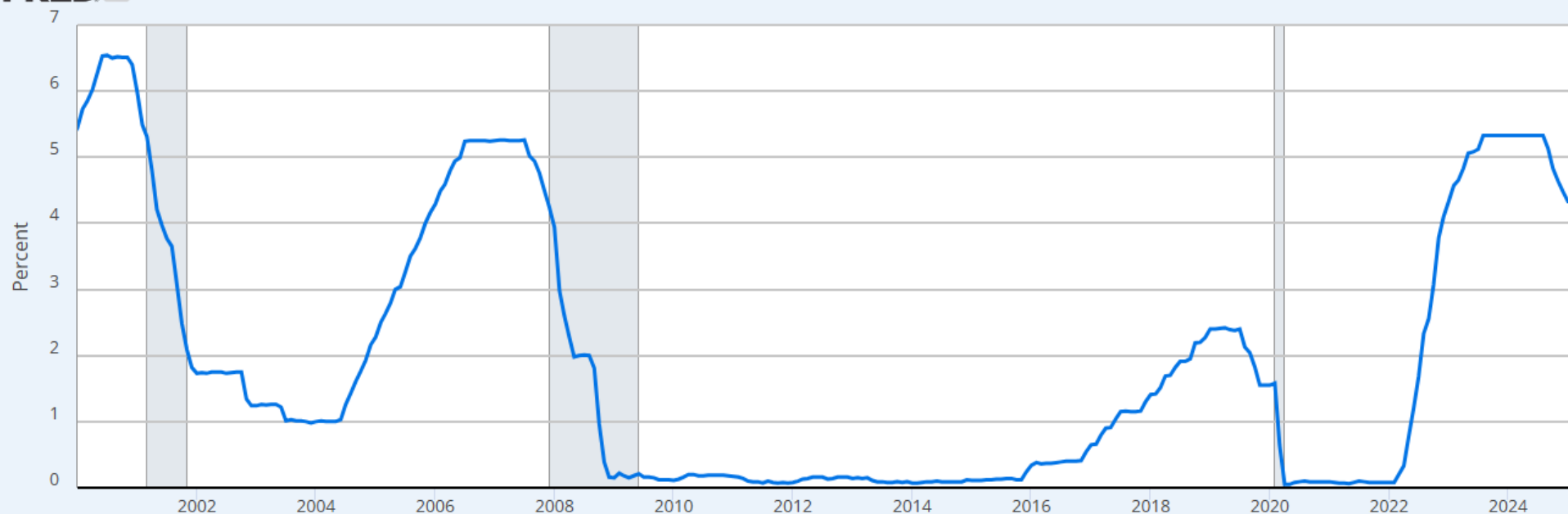
to

2025-03-01

Download

FRED

Federal Funds Effective Rate



Source: Board of Governors of the Federal Reserve System (US) via FRED®

Shaded areas indicate U.S. recessions.

fred.stlouisfed.org

Fullscreen

Share Graph

Account Tools



Thank You!



Take-away

- Boom and bust in the global capital flow cycle
- Financial mediation and mismatch
- Moral hazard
- Asian Financial Crisis
- Self-insurance
- Bretton woods II
- Quantitative Easing (QE)
- Taper tantrum